

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**EXCEPTIONS OF RESPONDENT EVERGREEN LINE JOINT SERVICE
AGREEMENT TO DENIAL OF MOTION FOR SUMMARY JUDGMENT¹**

Pursuant to 46 C.F.R. §502.227 and the February 6, 2023 Initial Decision Partially Granting Summary Decision (“ID”), Respondent Evergreen Line Joint Service Agreement (“Evergreen”) hereby files the following exceptions to the ID’s grant of summary judgment in favor of Complainant and denial Evergreen’s Supplemental Motion for Summary Decision (“EMSD”).²

¹ Evergreen also joins in and fully supports the exceptions filed by the other Respondents.

² These exceptions utilize the abbreviations set forth in Appendix A to the ID to refer to filings in this proceeding.

Granting summary judgment in favor of Complainant was improper vis-à-vis Evergreen because there are no genuine issues of material fact with respect to Evergreen and Evergreen is entitled to judgment in its favor as a matter of law. The denial of the EMSD was improper for the same reason.

I. There Are No Genuine Issues of Material Fact With Respect To Evergreen

An examination of the pleadings in this proceeding reveals that there are no genuine issues of material fact with respect to Evergreen.

Evergreen's Statement of Material Undisputed Facts ("ESUMF") contains 13 separate facts, which are identical to facts 85 through 97 of RSUMF. Complainant does not dispute 7 of the 13 facts (85-89, 91, and 94). See, RSUMF/CResp.

A closer examination of Complainant's purported dispute of 5 of the 6 remaining facts reveals that while Complainant quibbles with certain terminology, it actually does not dispute the substance of the factual statements. More specifically:

RSUMF #90/ESUMF #6 – This statement of undisputed fact indicates that if an Evergreen customer chooses to have its motor carrier use a chassis other than one provided by Evergreen for MH shipments, the customer and its motor carrier can use their own chassis or a chassis provided by an IEP selected by the motor carrier or customer. Complainant does not dispute this statement of fact. Instead, it argues about the economic viability and/or feasibility of motor carriers supplying their own chassis. In so doing, it relies on the testimony of various witnesses, none of which relates to Evergreen. Thus, Complainant admits by default that motor carriers performing merchant haulage moves of Evergreen containers are free to use a chassis from the IEP of their choice.

RSUMF #92/ESUMF #8 – This statement of undisputed fact indicates that Evergreen provides a chassis to the motor carrier for a period of time free of charge to the motor carrier. Complainant objects to the use of the word “free” on the grounds that Evergreen’s customer pays for the chassis. Again, this is a non-denial which actually admits the substance of the SUMF – motor carriers do not pay a daily chassis usage charge when the customer elects to have Evergreen provide the chassis for a merchant haulage move.

RSUMF #93/ESUMF #9 – This statement says that Evergreen does not charge motor carriers for the use of chassis. Complainant disputes this statement, saying a per diem charge applies if the chassis is not returned within free time. Again, Complainant misses the point and does not dispute the fact that the motor carrier pays nothing for the use of the chassis if it is provided by Evergreen and the chassis is returned within free time.

RSUMFs #95 and #96/ESUMF #11 and #12 – These statements indicate that Evergreen assesses per diem charges to the motor carrier if the chassis provided by Evergreen for a MH move is not returned within free time. Complainant does not dispute this, but merely objects to the characterization of “free time” as “free” on the grounds that the customer is paying a chassis usage charge. Again, the actual factual statement is not disputed.

In short, Complainant’s “disputes” of the ESUMF do not actually dispute the facts, but instead attempt unsuccessfully to create the appearance of a dispute by focusing on some narrower aspect of the statement and quibbling with the wording of the statement in a way that distracts from the fact that the SUMF is actually true and undisputed.

This is confirmed by Finding of Fact #8 in the ID, which reads:

Evergreen obtains chassis from IEPs at a single, fixed contractual daily rate for use in both CH and MH. ESUMF ¶ 4; RSUMF ¶ 88; RSUMF/CResp ¶ 88.

Evergreen’s customers pay a fixed chassis usage charge if they want Evergreen to provide a chassis to the motor carrier for MH. EMSD at 6; ESUMF ¶ 7; RSUMF

¶ 91; RSUMF/CResp ¶ 91. This fee then covers the day of delivery plus four business days, after which time motor carriers pay a per diem of \$20 per day. EMSD at 6; ESUMF ¶ 11; RSUMF ¶ 95; RSUMF/CResp ¶ 95.

In light of the foregoing, there are no genuine issues of material fact with respect to Evergreen.

II. The ID Improperly Granted Complainant's Motion for Summary Judgment and Improperly Denied Evergreen's Motion for Summary Judgment

The ID acknowledges that Evergreen's practices with respect to the provision of chassis are unique. ID at 14 (paragraph 8), 37, and 46. However, in granting summary judgment in favor of Complainant, it nonetheless lumps Evergreen together with all other Respondents. This is reversible error, both factually and legally.

Distilled to its essence, the ID's grant of Complainant's motion for summary judgment is based on the conclusion that Respondents' chassis provision practices restrict the ability of motor carriers to select the IEP of their choice, thereby reducing competition in the market and increasing chassis costs. ID at 15, 47. However, none of this is true with respect to Evergreen.

As noted above, a motor carrier transporting an Evergreen container on an MH basis can use a chassis provided by Evergreen and paid for by the customer of the motor carrier (i.e., without any charge whatsoever to the motor carrier), use a chassis that the motor carrier owns or leases, or use a chassis provided by the IEP of the motor carrier's choice. Even if the ID is correct that existing chassis practices are unreasonable (which it is not), this finding cannot be sustained with respect to Evergreen for the simple reason that Evergreen's chassis provision model does not involve any of those practices.

Complainant, as noted in the discussion of the facts with respect to Evergreen, tries to argue that Evergreen's practices are unreasonable because motor carriers using chassis provided by Evergreen for MH moves may have to pay per diem charges. The ID succumbs to this sleight of hand and bases denial of Evergreen's motion in part on that consideration:

Evergreen is linking MH volumes to obtain discounted prices for MH and CH chassis and instituting a separate pricing system for motor carriers, including that after the five initial days, motor carriers may pay a daily late fee, with any profits over the amount Evergreen is being charged going to Evergreen.

ID at 60. As an initial matter, the statement that Evergreen has a separate pricing system for motor carriers is directly contradicted by the undisputed facts that Evergreen does not charge motor carriers for chassis usage on MH moves during the free time period. Finding of Fact #8; RSUMF #92 and #93. In fact, Evergreen makes it possible for motor carriers to use chassis for MH moves free of any charge to the motor carrier. It is hard to imagine a practice more reasonable from the point of view of the motor carrier.

Moreover, the “daily late fee” is nothing more than detention, a charge that serves the legitimate and reasonable purpose of incentivizing the prompt return of the equipment. ID at 13. It is ludicrous to say that Evergreen’s chassis practices are unreasonable because Evergreen assesses detention charges that the Commission has recognized serve a legitimate purpose. The ID’s conclusion that the per diem charged as detention for the late return of equipment represents profit to Evergreen is wholly unsupported by anything in the record, and appears to be nothing more than pure supposition.

Finally, the ID does not make any actual finding that Evergreen’s practices have any adverse impact whatsoever. In this regard, the ID states:

By designating the IEP as the preferred and exclusive chassis provider for Evergreen’s CH and MH moves, Evergreen is exerting an influence over competition in the market. The harm from this may include less competition for chassis and potentially higher prices for motor carriers and/or for shipping consumers. In a sense, Evergreen itself has become the exclusive IEP in this model, in that Evergreen determines the per diem charge for motor carriers and the motor carrier has no ability to substitute away, if the end shipper has selected this arrangement.

ID at 60 (emphasis added). The foregoing statement contains two major errors.

First, there is nothing in the record that suggests Evergreen has designated any chassis provider as an exclusive chassis provider for MH moves. See, e.g., RX0629 (designating provider as preferred for MH). The ID finds that designation of a preferred provider is reasonable. Thus, Evergreen's practices are reasonable.

Second, the ID contains no actual finding of any wrongdoing or harm – just speculation that the conduct “may include” less competition and “potentially” higher prices. Reasonableness is a question of fact. *Interpretative Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29647 (May 18, 2020)(guidance of interpretative rule not inconsistent with case-by-case adjudication of reasonableness, especially where Commission will consider all arguments raised in individual case); *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2001 WL 865692 (Docket No. 00-11)(ALJ 2001)(determination of reasonableness largely dependent upon specific facts rather than broad generalizations). The ID does not find reduced competition or higher prices as a matter of fact. It speculates that these may occur based on the inaccurate and unsupported characterization of Evergreen's chassis practices. This statement does not and cannot sustain a grant of summary judgment in favor of Complainant.

Because Evergreen's chassis provision practices do not restrict the ability of motor carriers to select their chassis providers when transporting Evergreen containers on a merchant haulage basis and do not result in any chassis usage costs to the motor carrier, those practices are

reasonable and Evergreen is entitled to summary judgment in its favor.

Respectfully submitted,

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Date: March 7, 2023

CERTIFICATE OF SERVICE

I certify that, on March 7, 2023, a true and current copy of the foregoing Exceptions of Respondent Evergreen Line Joint Service Agreement to Denial of Motion for Summary Judgement was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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DATED: March 7, 2023



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